

MARKET REPORT

RETAIL 3Q/26

Seattle-Tacoma Metro Area

Marcus & Millichap

Small Retailers Steady the Market as New Residents, Tourists Aid Urban Core

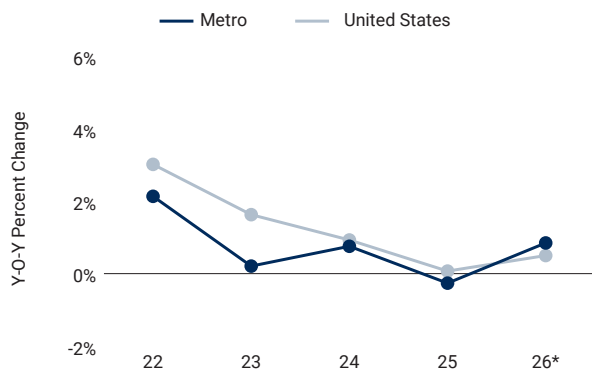
Vacancy levels off, though gaps persist. After three years of rising vacancy, retail conditions are finding balance, with the metrowide rate holding at 4.7 percent in June for a third consecutive quarter. Modest leasing, however, suggests that stabilization reflects fewer closures more than rapid tenant growth. Notably, multi-tenant vacancy fell 30 basis points year-to-date to 6.4 percent, but its near-record spread above the 4.0 percent single-tenant rate reflects still soft demand for larger shopping center space. Smaller-footprint leasing has been steadier, and new Seattle zoning rules may broaden demand by allowing cafes and other small retailers in residential areas for the first time in decades.

Downtown demand broadens. Residents and visitors may drive Downtown Seattle's retail recovery, with employee traffic near 60 percent of 2019 levels while visitor traffic has fully recovered. Over 12,000 apartments have opened since 2021 — the fifth most among major CBDs — with 4,000 more underway, expanding the customer base. The new Waterfront Park and record cruise activity should further lift traffic. Improved restaurant, specialty, and experiential leasing suggests tenants are responding, while Barnes & Noble's return signals confidence. Still, a 50-basis-point annual rise in vacancy to 6.4 percent tempers optimism.

Employment

Hiring is rebounding in 2026, with nearly 8,000 jobs created year-to-date through June. The leisure and hospitality and construction sectors led gains, while manufacturing also expanded notably. Aerospace activity likely contributed to this trend, as Boeing has been hiring about 100 workers per week, much of it likely near its Everett facilities in the North End. Traditional office-using sectors remained mixed, as growth in professional and business services was offset by losses in financial activities and information.

EMPLOYMENT TRENDS



* Forecast

Sources: BLS; CoStar Group, Inc.

2026 FORECAST



EMPLOYMENT

18,000

0.9%

Jobs will be created Increase Y-O-Y



CONSTRUCTION

210,000

0.1%

Sq. ft. will be added Inventory increase Y-O-Y



VACANCY

4.6%

10

Vacancy rate BPS decrease Y-O-Y



RENT

\$24.40

1.1%

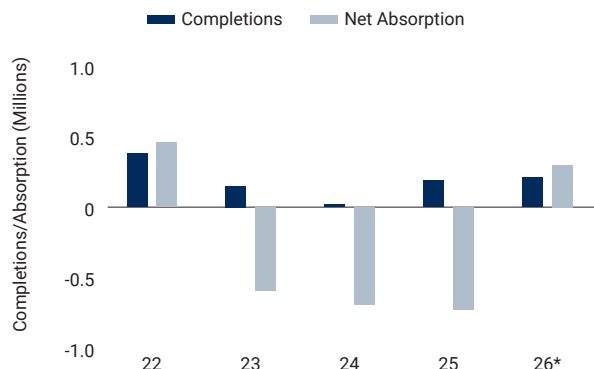
Average asking rent by year-end Decrease Y-O-Y



Construction

Supply growth will remain at or below 0.1 percent in 2026 for a fourth straight year, far below the 0.5 percent average of the preceding decade. High development costs and limited infill sites make stand-alone retail difficult to justify, leaving many new projects tied to mixed-use developments. Most construction is concentrated in Eastside suburbs such as Redmond and Black Diamond. The largest additions include a roughly 75,000-square-foot neighborhood center and a 60,000-square-foot Safeway.

CONSTRUCTION TRENDS

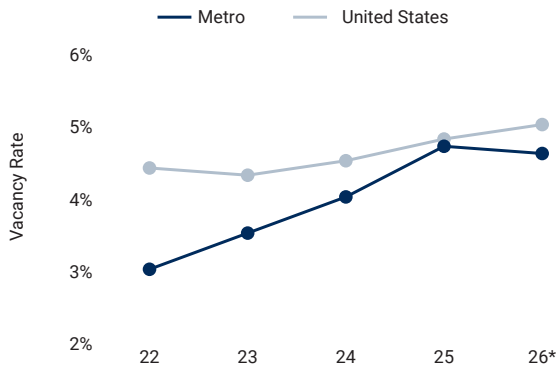




Vacancy

After rising for three years, metrowide vacancy should edge lower in 2026, aided by fewer national-chain closures. Downtown Seattle and the South End held the highest rates in June, at 6.4 percent and 6.1 percent, respectively, up 50 and 110 basis points annually. Eastside vacancy also rose 70 basis points but was at 4.0 percent, while North End vacancy held at 4.4 percent and Tacoma's rate fell to 3.3 percent. Tacoma now posts the West Coast's lowest vacancy among submarkets with at least 20 million square feet of stock.

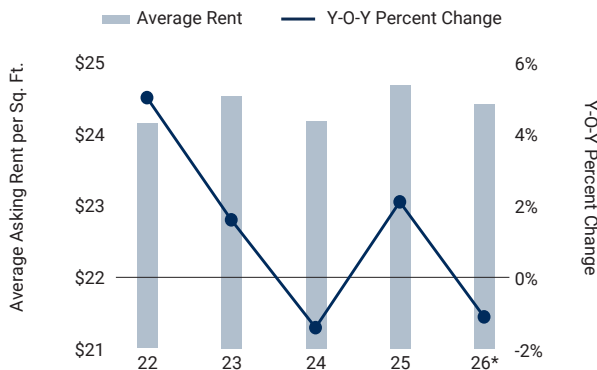
VACANCY TRENDS



Rent

Metrowide vacancy more than 100 basis points above its past decade average is giving tenants more options and limiting rent growth. Tacoma may remain an exception, as tight conditions help sustain gains. Asking rents here have risen nearly 30 percent since 2019, the strongest increase in the metro. Metrowide, both multi- and single-tenant rents declined annually as of June, with higher multi-tenant vacancy driving a steeper drop. Still, asking rents remain close at roughly \$25 and \$24 per square foot, respectively.

RENT TRENDS



* Forecast ** Through 2Q

Sources: CoStar Group, Inc.; Real Capital Analytics

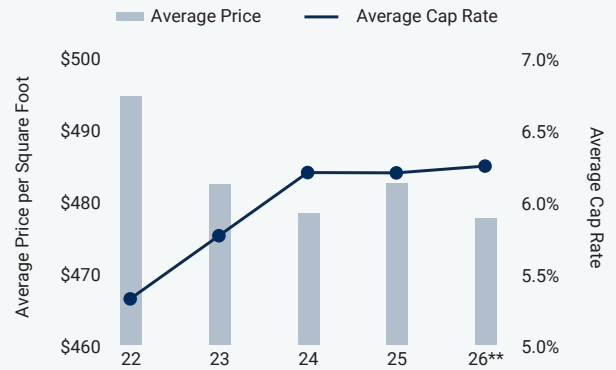
INVESTMENT HIGHLIGHTS

- Seattle-Tacoma was among the few metros where sales activity fell over the year ended in June, as softer rent growth and high entry costs complicated underwriting. The average cap rate rose 10 basis points to 6.3 percent, with both multi- and single-tenant rates edging higher, signaling gradual repricing. Multi-tenant trading may lag after trade volume fell to its lowest level since 2011. Single-tenant sales, meanwhile, were about 10 percent above the 2015-2019 average, underscoring investor preference for more predictable income.

- Eastside retail investment gained momentum in 2026 as AI-related leasing reinforced Bellevue and Redmond's affluent consumer base. Recent office commitments from OpenAI, Databricks, CoreWeave, and xAI will add high-paying jobs, while Nobu's first U.S. residential project and planned restaurant at Avenue Bellevue underscore the area's luxury appeal. The March opening of the cross-lake light-rail connection also created the Eastside's first direct rail link to downtown Seattle and expanded access to Sea-Tac Airport, improving connectivity for workers, residents, and visitors.

- While retail vacancy in the CBD proper approached 20 percent, rates in nearby Capitol Hill and Ballard-University District were just 4.1 percent and 2.6 percent, respectively, in June, supporting investor interest in infill assets. Farther south, the opening of the Federal Way Link Extension appears to be attracting more investment, particularly as recent zoning changes and planned city-funded infrastructure improvements enhance long-term redevelopment potential.

SALES TRENDS



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